

Outlook

From	ayanda.mthembu@pricing.customer.value.keystonebank.co.za
To	analytics.retail@keystonebank.co.za, credit.risk.retail@keystonebank.co.za
Cc	compliance.retail@keystonebank.co.za, model.risk@keystonebank.co.za
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APR, affordability and later outcomes - 2024 control review

Morning,

I need help with something that sounds simple but probably is not.

Pricing wants to know whether loan spreads vary coherently with risk, affordability, collateral and later repayment outcomes. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause.

The questions I would ask in the room are:

1. What would we expect to see if higher spreads align with higher expected risk?
2. What evidence would instead support that later distress is concentrated in affordability edges rather than price?
3. How do we rule out that channel or product creates unexplained pricing differences?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use April 2024 as the new evidence point rather than recycling the earlier conclusion. Please work towards which pricing rules need review and which differences require conduct testing. A useful output would be a Power BI page with drill-through to a reproducible case list.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; monthly customer and KYC snapshots. One caution: This is an internal consistency and outcome review, not proof that a price is legally fair or actuarially optimal.

Regards